Solution

Dr. Trading and Profit and Loss Account for the year ended 31st December, 2016 Cr.

Particulars	₹	Particulars	₹
To Opening stock	9,000	By Sales	42,000
To Purchases	22,000	By Closing stock	4,500
To Expenses on purchases	1,500		
To Gross profit c/d	**14,000**		
	46,500		
To Bank charges	3,500	By Gross profit b/d	46,500
To Bad debts	1,200		14,000
To Sundry expenses	1,800		
To Discount allowed	1,700		
To Expenses on sale	1,000		
To Repairs on office furniture	600		
To Manager's commission	200		
To Net profit (transferred to capital A/c)	**4,000**		
	14,000		14,000

Working note:

$$\text{Commission} = \text{Net profit before charging commission} \times \frac{\text{Rate of commission}}{(100+ \text{Rate of commission})} \times 100$$

Net profit = 14,000 – (3,500 + 1,000+1,200+1,800+1,700+600) = ₹ 4,200

$$\text{Manager's commission} = 4{,}200 \times \frac{5}{105} = ₹\ 200$$

Illustration 12

Given below are the balances extracted from the books of Nagarajan as on 31st March, 2016.

Particulars	₹	Particulars	₹
Purchases	10,000	Sales	15,100
Wages	600	Commission received	1,900
Freight inwards	750	Rent received	600
Advertisement	500	Creditors	2,400
Carriage outwards	400	Capital	5,000
Cash	1,200		
Machinery	8,000		
Debtors	2,250		
Bills receivable	300		
Stock on 1st January, 2016	1,000		
	25,000		25,000

Prepare the trading and profit and loss account for the year ended 31st March, 2016 and the balance sheet as on that date after adjusting the following:

(a) Commission received in advance ₹ 400 (b) Advertisement paid in advance ₹ 150

(c) Wages outstanding ₹ 200 (d) Closing stock on 31st March 2016, ₹ 2,100

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